

Tiffney Payton

From: Karen Gregory
Sent: Wednesday, June 13, 2012 3:52 PM
To: Magdalene Grant; Tiffney Payton
Subject: FW: Container Freight Indexing Comments.
Attachments: FMC Freight Index Questions.docx

Please scan and add to docket log . . . thanks!

From: Secretary
Sent: Thursday, May 31, 2012 2:45 PM
To: Karen Gregory; Rachel Dickon
Subject: FW: Container Freight Indexing Comments.

From: Tom Kopp [<mailto:TKopp@worldfoodp.com>]
Sent: Thursday, May 31, 2012 2:17 PM
To: Secretary
Subject: Container Freight Indexing Comments.

Karen V. Gregory,
Secretary, Federal Maritime Commission,
800 North Capitol Street NW., Room 1046,
Washington, DC 20573-0001

Hi Karen,

Attached are my comments regarding container freight indexing for agricultural products using FMC Service Contracts.

Best regards,

Thomas Kopp
VP- ClearX Commodities



A wholly owned entity of World Food Processing, LLC
4620 284th Street East
Randolph, MN 55065
Office; 507-263-3779
Cell: 651-261-2944
tkopp@worldfoodp.com
www.worldfoodp.com

1. Is there anything that prevents private index developers and publishers from developing indices of the kind being sought by U.S. agricultural exporters?

I am not aware of the intricacies of what it takes to develop such an index. From the meeting in Chicago you need a clearing house, and an index with a high enough correlation to the market hedging works, outside financial investors or speculators and market participants to participate so there is a fluid market. Such a program would greatly benefit all participants as it would facilitate business transactions beyond the current cash market. The current volatility of the container freight markets prohibit this as the freight risk is higher than the product risk which generally can be hedged.

2. Has your company used or considered using any existing freight rate index to adjust rates in its export service contracts or to hedge freight rate risk? If so, what is your company's view on the products it used or considered?

No, we are looking for avenues but have not found any viable options in the export market to date. It has been on my wish list for years. Currently you can contract rates but you are still subject to GRI's Bunker adjustments and container supply. All of which we have no control. This system as proposed would allow for this and would greatly enhance exporting ag products and increase efficiencies in our production systems and shipment of our products.

3. Would it be appropriate to use service contract data filed confidentially with the Commission to develop indices of the kind being sought by U.S. agricultural exporters (assuming the data is aggregated so as to protect the identity of individual shippers and ocean carriers before being released to the public in the form of an average rate or index)?

I think this is controversial but if done in a manner that protects the identity of individual shippers it may be acceptable. I think the FMC would need to have another party involved in using this information and provide them with a blend price to use in publishing the index. I'm not sure what the formula would be for a blend price but it would have to be agreed upon by the industry so everyone understands the index and where it comes from. If the correlation is not high enough the hedge will not work well enough to be effective and the index will fail.

4. Should these indices be optimized for use in service contracts, for use in financial hedging instruments, or both?

I think they need to be optimized for use in both to work effectively.

5. What kind of competitive issues would the public release of a broadly based or route and commodity specific rate index create for U.S. export shippers or ocean carriers?

The only competitive issue I see is it may allow smaller companies to compete more effectively with larger volume companies. The determining factor will be how well the index works and how well companies can use the index in their business. I see larger companies with more resources still having an advantage so in the long run I doubt that will change.

6. If developed using service contract data filed with the Commission, should a U.S. export rate index be route and commodity specific or should it be more broadly based? If the former type of rate index would be more useful to your business, explain what type of commodity, specific route, publication frequency, or other index-related factors are most needed.

I think it will need to be category specific but not commodity specific. Food products vs feed products for example will carry different values. The steamship lines still need to be able to maximize their payload and revenues so there has to be some basic category definitions to account for this and to maintain a high correlation value.

7. Should either or both parties to a service contract have the option of not having their contract rates incorporated into an index?

No, this will decrease the correlation and cause problems. Using specific categories should allow for the needed functionality of the index.

8. If made available by the Commission, how would an export rate index affect your company's export sales?

It would allow use to make sales in future months and hedge both the commodity price and the freight price. Transaction costs will have to be economically feasible.

9. If made available by the Commission, how likely is your company to use an export rate index in its service contracts to adjust rates?

Extremely likely. The only question is the cost and how well it works.

10. Has your company or related subsidiary traded in freight derivatives? If so, describe that experience and the outcomes obtained?

No. We have used barge and rail indexes but not derivatives.

11. If a U.S. export rate index is made available by the Commission, how likely is your company to trade in a derivatives market based on that index?

We will use the derivative to the extent we can lock in freight costs to facilitate sales. We would not speculate.

12. What impact would trading in a freight derivative market based on a U.S. export rate index have on the physical U.S. export container market?

It would facilitate trading and shipments allowing for more consistency and greatly reduce the feast or famine cycle we have.

Along with comments, respondents should provide their name, their title/position, contact information (e.g., telephone number and/or email address), name and address of company or other entity and type of company or entity (e.g., carrier, exporter, importer, trade association, index publisher, etc.).

Thomas Kopp
Vice President ClearX Commodities
World Food Processing, LLC
4620 284th Street East
Randolph, MN 55065
507-263-3779
tkopp@worldfoodp.com

Responses to the NOI will help the Commission decide whether it would be useful, advisable, and appropriate for the Commission to publish a few targeted export freight rate indices based on an aggregated sampling of service contract data filed with the Commission, and if so, what type of indices would best serve the needs of U.S. exporters.

I think a Trans-Pacific index for food products and feed grains/ingredients would greatly serve US exporters. Once there is a functional index that works others can be added.

To promote maximum participation, the NOI questions will be made available via the **Federal Register** and on the Commission's Web site at www.fmc.gov in a downloadable text file. They can also be obtained by contacting the Commission's Secretary, Karen V. Gregory, by telephone at (202) 523-5725 or by email at secretary@fmc.gov. Please indicate whether you would prefer a hard copy or an email copy of the NOI questions. Non-confidential comments may be sent

to secretary@fmc.gov as an attachment to an email submission. Such attachments should be submitted preferably in Microsoft Word or PDF. Show citation box

The Commission anticipates that most filed NOI comments will be made publicly available. The Commission believes that public availability of NOI comments is to be encouraged because it could improve public awareness of the benefits and drawbacks of establishing rate benchmarks for major U.S. exports. Nevertheless, some commenting parties may wish to include commercially sensitive information as relevant or necessary in their responses by way of explaining their liner shipping experiences or detailing their responses in practical terms. To help assure that all potential respondents will provide usefully detailed information in their submissions, the Commission will provide confidential treatment to the extent allowed by law for those submissions, or parts of submissions, for which the parties request confidentiality. Show citation box

By the Commission.

Karen V. Gregory,
Secretary.

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